

ALMS pitch deck

PITCH — ALMS — VERDICT

PROPOSED — PENDING ADJUDICATION — no position today at ~\$9.50–9.82; a 0.25–0.35% starter is proposed only on a fill at or below **\$8.00**, with no add until the psoriasis NDA submission is confirmed in a company filing by 31-Dec-2026.

What we believe

Alumis is, as of today, effectively a one-drug company. Its drug is envudeucitinib, an oral pill for plaque psoriasis in the same class as Bristol Myers Squibb's Sotyktu. That drug worked in Phase 3, and in August the company published long-term data claiming the best skin-clearance numbers of any oral psoriasis pill. The company says it will file for FDA approval by the end of 2026.

On 1-Sep-2026 the company reported a second, separate trial — envudeucitinib in lupus — that did not deliver. The press release reported no patient counts, no effect size, and no p-value for either the overall trial or the subgroup it chose to highlight ([8-K, 1-Sep-2026](#)). The stock fell from about \$21.81 to roughly \$9.50 in a single session on 28.2 million shares against a normal day of about 800,000.

Our belief is narrow and it is not a conviction call: **after that fall, the company's remaining value is roughly what it is worth, not obviously more.** Backing out cash of about \$446M against a market value of roughly \$1.25B leaves about **\$806M** for the psoriasis drug. Using the class's actual sales trajectory rather than a single stale year, that drug is worth somewhere between about \$9.70 and \$14.55 per share — a band whose lower half sits *on* today's price. That is a fair price, not a bargain. A fair price on a single-asset biotech with a funding wall before launch is worth a small starter at a discount, and nothing at all at the tape.

What the market believes

Two different things, held by two different groups.

Sell-side analysts still carry price targets of roughly \$25–\$40 (ten covering analysts, average \$40.33 before the miss; Wells Fargo cut \$51→\$25, Baird cut \$35→\$27 after it). Even the cut targets are 2.6–2.8× the current price. On paper, the street agrees with the bullish case.

The people actually trading the stock disagree. They sold it on the day of its best-ever psoriasis dataset (10-Aug), and they sold it again through the lupus miss. The market's revealed view is that a third-to-market oral psoriasis pill — behind Sotyktu and behind J&J's icotrokinra, approved 18-Mar-2026 with a claim of superiority over Sotyktu — is a modest commercial asset, not a franchise.

We think the traders are closer to right than the analysts, and that the correct price is near where it is.

Why we might have edge

Honestly: thin, and mostly arithmetic rather than insight.

1. **We caught a base-effect error that the bearish case rests on.** The natural bear anchor is “Sotyktu only did \$291M in 2025, so this class has a low ceiling.” That \$291M is Sotyktu’s *third year on the market*, not its peak. Primary BMS filings show \$246M (FY24) → \$291M (FY25) → \$156M in the first half of 2026, up 24%, with Q2-26 at \$87M up 23%, plus new psoriatic-arthritis approvals in the US (6-Mar-2026) and the EU ([BMS Q2-2026 Ex-99.1](#)). Read at the right point on its curve, the class analog supports roughly \$700–800M of eventual annual sales, not \$291M. That single correction moves the fair-value estimate from about \$6 to about \$10 — which is the difference between “short it” and “own a little of it cheaper.”
2. **We disproved a supposed overhang that both a filing index and our own first pass got wrong.** A 13D filed 17-Aug-2026 is indexed by EDGAR against Alumis and appeared to show a venture firm holding 14.5% with a stated right to distribute shares. Reading the document itself, it names a *different issuer* entirely (Latigo Biotherapeutics; 63,238,030 shares outstanding; an IPO that priced at \$18.00 on 10-Aug-2026) — while Alumis’s own 10-Q cover reports 129,435,239 shares ([full 13D submission](#)). There is no verified large-holder distribution overhang. Anyone trading off the index tag is trading off a mis-filed document.
3. **We closed the insider question.** The cluster of six insider forms on 5-Aug looked like people selling ahead of the lupus readout. They weren’t: the CFO’s form states the sale was made “pursuant to the Issuer’s policy requiring sell-to-cover” on vesting shares — mandatory, mechanical, 3,282 shares ([Form 4](#)).
4. **A free external test is coming.** BMS’s own materials flag pivotal lupus and Sjögren’s readouts for Sotyktu this year. Since Sotyktu is in the same drug class, that readout will largely settle whether Alumis’s lupus subgroup story is real — at no cost to us and before Alumis commits its own money.

None of these is a durable informational advantage. They are error corrections, and they mostly argue for *patience*, not for buying.

Why it might be priced in

Strongly, and we should say so.

- **The market already ran the experiment.** On 10-Aug-2026 the company published its strongest psoriasis dataset ever, in an 8-K ([link](#)). The stock closed down 7.8% the next session while the biotech index was flat. That is the single most important fact in this file: the best news this asset can produce before approval was met with selling. Our own bull argument — “the psoriasis stub is being overlooked” — was tested three weeks ago and failed.
- **We are not saying anything the street isn’t saying.** Ten analysts with buy ratings and targets 2.6× the price is the same directional view as ours, only louder. Agreement with consensus

is not edge; it is exposure.

- **The stock is not at a crisis price.** It is 68.7% below its 52-week high, but also **161% above** its 52-week low of \$3.76. Both facts are true and the second one is the one people forget.
- **The comparison that decides the whole thesis cannot be verified.** Whether envudeucitinib is actually better than icotrokinra has never been tested head-to-head, and probably never will be. Every valuation here rests on comparing separate trials in different patient populations — which is not evidence, it is an assumption wearing evidence's clothes.

What could go wrong

The pre-mortem. Three ways this loses money.

Failure 1 — The ceiling is real and the class is the problem (monitorable). Envudeucitinib is approved on schedule and sells \$300–500M at peak, not \$800M+, because it is the third oral entrant into a category where the pioneer needed three years to reach \$291M and the newest competitor launched with a superiority claim against that pioneer. At \$500M peak, the same model that produces \$10.56 produces **\$7.89**; at \$291M it produces **\$6.03**. We lose 20–40% slowly, over years, with no single bad day to react to. *Tripwire exists*: Sotyktu's quarterly revenue in BMS filings and icotrokinra's launch trajectory in J&J filings, both quarterly, both public. If Sotyktu's growth decelerates below ~15% year-over-year for two consecutive quarters, the ceiling case is winning.

Failure 2 — Management spends the balance sheet on the trial that just failed (monitorable). The 1-Sep release says the company plans “to engage regulators to discuss Phase 3 development for envudeucitinib” in lupus — a \$200M+ commitment, announced off a subgroup for which they disclosed no numbers at all. Cash is about \$446M and burning \$28.1M a month; company-stated runway ends in Q4-2027, which is *before* the psoriasis drug could launch in 2028. A lupus Phase 3 pulls the funding wall forward into the FDA review period, the worst possible moment to raise. *Tripwire exists*: an 8-K announcing Phase 3 initiation; the cash and burn lines in each 10-Q; any prospectus supplement showing the \$300M shelf being drawn.

Failure 3 — The one with no tripwire: something inside the FDA review. This class carries the JAK-inhibitor safety history. A safety signal in the long-term extension data, a labeling fight, a boxed warning, an advisory committee convened, or a competitor's class event — none of these are observable by us in advance. FDA review correspondence is not public. We would learn about it the day it is decisive, in a gap, exactly as happened on 1-Sep. There is no filing to watch, no data series to monitor, no counter-position to take. **Unknown-unknown class: adverse information held inside a closed regulatory process** — where the deciding evidence exists, is known to two parties, and is disclosed only when it is already priced. A closely related unmonitorable class sits alongside it: **cross-trial comparative efficacy** — we cannot verify envudeucitinib against icotrokinra, no one will run that trial, and a payer or formulary committee can reach a conclusion on it that we never see coming.

The reflexive and structural leg. Our own size is irrelevant to the market and that is a warning, not a comfort: 0.30% of book is a few thousand shares against a normal 800,000-share day and 28.2 million on the crash day. We cannot move this stock, we cannot get out ahead of anyone, and we have no

privileged flow read. Meanwhile there *is* a predictable seller: the company itself, with an undrawn \$300M facility representing about 24% of its market value, which it is most likely to use into any rally. We would be buying into supply we ourselves forecast — the exact pattern we have a standing rule against. That argues for buying weakness on a limit and never chasing strength. Note also that the harm from that facility is smaller than the share-count math suggests: issuing \$300M at roughly fair value is close to value-neutral per share (it moves an \$10.56 estimate to about \$10.35, not to \$8.00). The facility’s real cost is that it caps rallies, not that it destroys value. On doctrine: our default of taking a small starter when no fatal objection survives is *not* clean here — four sizing objections survived, so the starter must be gated below the tape rather than taken at it. And a small position creates its own bias: once we own it, every subsequent read of this name gets graded by someone who is long.

If this position loses money, the most likely reason will be that a third-to-market oral psoriasis pill has a commercial ceiling near \$300–500M rather than \$800M+ — not the balance sheet, and not the lupus failure we bought the discount from.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“The market overlooked the psoriasis asset”	Daily closes around the 10-Aug 8-K vs the biotech index	ALMS \$27.60 → \$25.37 (−8.1%) while XBI was +0.4%. Idiosyncratic selling on the best-ever dataset	No — refuted. Our own bull premise failed its test
Same, extended to −21% over 16 sessions	Re-read the window for other events	The window contains the 13-Aug quarterly report (a \$41.8M write-off; runway disclosure; −4.5% that day) and pre-readout de-risking. Our bearish bench over-claimed by attributing the full 21% to psoriasis	Partly — the one-day move is clean, the 16-day extrapolation is contaminated
“\$291M is the class ceiling”	BMS primary filings, FY24 through Q2-26	\$291M is year <i>three</i> , growing 19–24%. Using it as a peak understates by roughly 2.5×. Our bearish bench made a base-effect error that alone produced its \$6.03 target	No — refuted
“Corrected, the model says \$10.56–\$14.55”	Re-ran the arithmetic at the corrected \$700–800M peak	\$700M → \$9.67 ; \$800M → \$10.56 . The \$14.55 top end requires \$1.25B, which needs label expansion nobody has yet. Our bullish bench quoted its own band’s top and skipped its bottom	Partly — the honest band is ~\$9.70–\$10.60 base case, \$14.55 only with expansion
“~\$400M net cash, ~\$36.4M debt, EV \$840M”	Q2-26 10-Q	\$63.7M cash + \$438.6M securities = \$502.3M at 30-Jun-26; zero term debt (the “\$36.4M” is leases and accruals); \$168.6M first-half burn → ~\$446M at 31-Aug. EV ≈ \$806M	Corrected — original brief was wrong on debt
Share count	10-Q cover, 6-Aug-2026	129,435,239 , not the 128,505,445 in our data pack	Corrected
“A venture firm holds 14.5% with a stated plan to distribute”	Opened the 13D itself, not the index entry	The document names a different company , with 63,238,030 shares and an August IPO at \$18.00. Our bearish bench cited both 14.5% and 7.1%	No — refuted. No verified overhang. Our data pack is contaminated by the

Claim	How checked	Found	Confirmed?
		for the same holding without reconciling them — the tell that it hadn't read the document	same mis-indexed filing
Insider selling ahead of the readout	Opened the 5-Aug Form 4s	CFO sale of 3,282 shares, code S, "pursuant to the Issuer's policy requiring sell-to-cover." Routine and mandatory	No — refuted. Retires the insider-timing concern
Runway adequacy	10-Q plus company statement	Company-stated runway "into the fourth quarter of 2027" is correct ; it also ends before a 2028 launch . Both true	Confirmed — and this is the real objection
Pipeline breadth	Filings and trial registry	Effectively one molecule: izokibep returned to its partner, lonigutamab written down \$41.8M and out for "strategic alternatives"	Confirmed
Price used	Data pack vs the tape	Pack says \$9.82; the bearish bench used \$9.67; the 1-Sep close was \$9.47. A ~4% spread across three sources within one court . All conclusions here are insensitive to it, but it should not have happened	Flagged — unresolved
Crash-day volume was mechanical unwind, not information	Volume vs average	28.2M vs ~800k. Consistent with forced selling, but no breakdown of who sold was run	Plausible only — not confirmed

PROPOSED ENTRY BANDS

No entry at today's price. The corrected central estimate (\$9.70–\$10.60) is roughly the tape. We do not pay fair value for a single-asset company with a funding wall in front of its own launch.

- **Starter — buy limit at \$8.00 or better.** Size **0.25% of book**, hard cap **0.35%**. That is roughly a 20–25% discount to the corrected central estimate, which is the minimum margin we should require for single-asset binary risk. Unlevered. No options.
- **Preferred entry mechanism: buy the financing, not the tape.** The most likely place \$8.00 prints is an equity offering or a marketed draw on the \$300M facility. If a deal is priced, participate at the deal price rather than bidding the open market into company supply.
- **Second tranche — \$6.00 or better**, additional 0.25%, **only if** the decline is price-driven rather than news-driven. If it gets there on a safety signal, a Complete Response Letter, or a failed filing, this goes back to court instead of getting bought. \$6.03 is the value implied if the class ceiling turns out to be real, so buying there without new bad news is buying the bear case at the bear's own number.
- **Balance-sheet floor — \$3.45/share** is pro-forma net cash per share (\$446M ÷ 129.4M). Below that, we own the cash and get the drug free; that is a different, better trade and warrants a fresh look at up to 0.5%.
- **No add of any kind** until the psoriasis NDA submission is confirmed in a company filing or press release. Company guidance is "by year-end 2026"; guidance is not an event.

- **Trim at \$13.00** (back half of the corrected band) — sell one-third. **Exit in full at \$14.55** unless a label expansion or a partnership has by then been verified in a filing, which would justify a higher band. Any position taken here is short-term for tax purposes for a year; a fast win is a taxable win, and the exit should be sized with that in mind.
- **Hard stop on thesis, not price:** if the company announces initiation of a lupus Phase 3, cut the position in half regardless of price. That is \$200M+ of a \$446M balance sheet committed to the trial that just failed, disclosed without numbers.

Catalyst dates that bind: NDA submission guided by 31-Dec-2026 (unconfirmed date); BMS's pivotal Sotyktu lupus/Sjögren's readouts expected in the second half of 2026 (a free read on the class); full lupus trial data at a medical congress not yet named; any draw on the \$300M facility; approval decision roughly Q4-2027 on a normal review clock; launch 2028. The next quarterly report shows as **12-Nov-2026** in our data, but that date is derived from a vendor feed — **no company release and no filing names it.**

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.45 (deck-provisional: Pro-forma net cash per share (\$446M / 129.4M sh) - below this the drug is free; re-court at up to 0.5%)
- filing watch: 8-K until 2027-03-01 (deck-provisional: NDA submission, lupus Phase 3 initiation (half the position on that one), partnership, or any safety d)
- dated pack ALMS|2026-11-12: ALMS: Q3 2026 results - VENDOR-DERIVED, no company source names this date (date confirmed=False)
- dated pack ALMS|2026-12-31: ALMS: Company-guided NDA submission for envudeucitinib in plaque psoriasis; no add before this is confirmed in a filing (date confirmed=False)
- dated pack ALMS|2027-12-31: ALMS: Approximate FDA decision date on a normal review clock; company cash runway ends the same quarter, before a 2028 launch (date confirmed=False)

What remains unverified

- **Whether envudeucitinib is actually better than icotrokinra.** No head-to-head exists. Every valuation in this deck rests on comparing separate trials. This is the true cap on the thesis and it is not resolvable.
- **The lupus result itself** — no patient count, no effect size, no p-value was disclosed, for the overall trial or the highlighted subgroup. We are valuing an outcome we have not seen.
- **Whether a genuine large-holder 13D on Alumis exists.** EDGAR's list for this company returns only 2024 filings; the August entry is mis-indexed. Absence of evidence here, not evidence of absence.
- **Who sold 28.2 million shares on 1-Sep.** Forced/mechanical versus informed selling changes how much the price move means. Not decomposed.

- **The 3.0× sales multiple, the 85% approval probability, and the 12% discount rate** in the valuation are assumptions, not data. They are conventional, and they are still assumptions.
- **The reported return of izokibep to its partner** — taken from a brief, not independently repulled from a filing.
- **The 12-Nov-2026 quarterly date** — vendor-derived, unconfirmed by any company source.
- **The current price** — three figures (\$9.47, \$9.67, \$9.82) circulated within one court. Any order must be priced off a fresh live quote, not off this document.

```

{"price_gates": [{"level": 8.00, "direction": "below", "basis": "Starter
gate: ~20-25% discount to corrected central FV of $9.70-$10.60;
minimum margin for single-asset binary risk"}, {"level": 6.00,
"direction": "below", "basis": "Second tranche, price-driven
declines only; ~the value implied if the class ceiling proves real
($6.03 at Sotyktu-year-3 economics)"}, {"level": 3.45, "direction":
"below", "basis": "Pro-forma net cash per share ($446M / 129.4M sh)
– below this the drug is free; re-court at up to 0.5%"}, {"level":
13.00, "direction": "above", "basis": "Trim one-third: back half of
the corrected fair-value band"}, {"level": 14.55, "direction":
"above", "basis": "Full exit unless label expansion or a funded
partnership is verified in a filing"}], "event_gates": [{"forms":
["8-K"], "why": "NDA submission, lupus Phase 3 initiation (half the
position on that one), partnership, or any safety disclosure"},
{"forms": ["424B5", "S-3", "S-3ASR"], "why": "The $300M shelf being
drawn – this is the preferred entry event; bid the financing, not
the tape"}, {"forms": ["10-Q", "10-K"], "why": "Cash and burn
against the Q4-2027 wall – the objection that survived both
benches"}, {"forms": ["SC 13D", "SC 13D/A", "SC 13G"], "why":
"Resolve the mis-indexed August filing and detect any genuine large-
holder distribution"}, {"forms": ["4"], "why": "Distinguish real
insider selling from mandatory sell-to-cover ahead of the NDA
decision"}], "catalyst_dates": [{"date": "2026-11-12", "what": "Q3
2026 results – VENDOR-DERIVED, no company source names this date",
"confirmed": false}, {"date": "2026-12-31", "what": "Company-guided
NDA submission for envudeucitinib in plaque psoriasis; no add before
this is confirmed in a filing", "confirmed": false}, {"date": "2026-
12-31", "what": "BMS pivotal Sotyktu lupus and Sjogren's readouts
guided for 2H-2026 – free class read on the lupus subgroup story",
"confirmed": false}, {"date": "2027-12-31", "what": "Approximate FDA
decision date on a normal review clock; company cash runway ends the
same quarter, before a 2028 launch", "confirmed": false}],
"immediate_entry": null}

```